

Locking Away Prosperity? Evaluating the Labor Impacts of Vaccine Mandates

1 Introduction

The COVID-19 pandemic triggered a global wave of non-pharmaceutical interventions (NPIs) as governments acted swiftly to limit viral transmission. Much early research focused on the public health rationale for these policies—especially the importance of early action to contain exponential spread. For instance, [Friedson et al. \[2021\]](#) and [Yang \[2021\]](#) use synthetic control methods to evaluate lockdowns in California and Wuhan, emphasizing the critical role of timing. Similarly, [Bayat et al. \[2020\]](#) estimate that New York City could have reduced COVID-19 deaths by over 80% had its first lockdown occurred just ten days earlier. Subsequent work examined the economic consequences of such interventions. While NPIs helped flatten the curve, they also raised concerns about business closures, layoffs, and lasting economic scarring. Studies like [Gibson and Sun \[2023\]](#) and [Lee and Yang \[2022\]](#) document labor market costs of lockdowns, while [Ke and Hsiao \[2022\]](#) show that although strict NPIs incur short-term economic losses, those effects may be temporary.

By 2021, as vaccines became widely available, cities such as New York City (NYC), New Orleans (NOLA), Los Angeles (LA), and San Francisco (SF) turned to vaccine mandates as a less restrictive (but still controversial) tool for curbing transmission.¹ Unlike lockdowns, mandates aimed to sustain economic activity in industry while reducing health risks in high-contact settings. Nevertheless, critics argued that requiring proof of vaccination for indoor dining and entertainment could slow employment recovery in restaurants by alienating customers or exacerbating staffing shortages [\[Dive, 2021\]](#). Supporters countered that mandates would improve public safety and restore consumer confidence, potentially boosting demand and employment [\[Jones, 2021\]](#).

Each city’s mandate differed in timing and design. NYC’s *Key to NYC* program, announced in August 2021 and enforced beginning September, was the first large-scale vaccine mandate for indoor commerce in the United States [\[Fortney, 2021\]](#). San Francisco followed with an even stricter rule requiring full vaccination for customers and employees, effective later that same month [\[Duffett, 2021\]](#). New Orleans adopted a hybrid approach, permitting either proof of vaccination or a recent negative test [\[Lorell, 2021\]](#), while Los Angeles—by far the largest jurisdiction—implemented its policy in November [\[Reyes, 2021\]](#). These mandates created a

¹Henceforth, I refer to these simply as the treated units

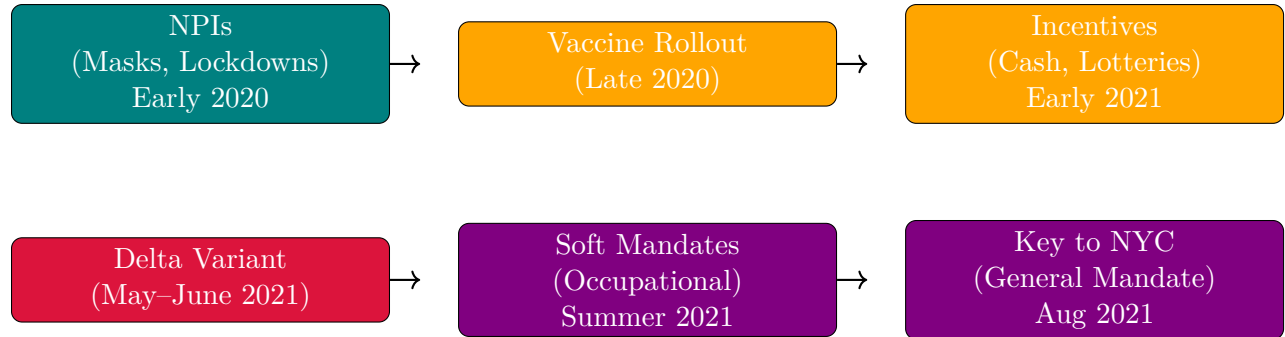
small but consequential set of urban outliers in the national policy landscape, with important implications for labor markets in the leisure and hospitality sector. Precisely, the estimated effects of city-level vaccine mandates on restaurant employment suggest several potential lessons for policymakers and business stakeholders. If the mandates support employment growth, policymakers could view them as a viable tool for balancing public health and economic activity. Cities considering similar interventions might adopt comparable policies with confidence that labor markets will not be severely disrupted. Businesses could plan for future public health policies with reduced concern for employment losses in high-contact sectors. If the mandates depress employment, policymakers should weigh the trade-offs more carefully before implementing mandates, especially in sectors sensitive to consumer demand and staffing shortages. Alternative interventions, such as targeted incentives for vaccination, improved workplace safety measures, or temporary subsidies, might be preferable to blunt employment impacts of mandates. Businesses may need mitigation strategies, including flexible staffing or remote services, to reduce vulnerability to future mandates. If the effects are heterogeneous across cities, differences in local conditions such as compliance rates, labor market tightness, or enforcement intensity should guide tailored policy decisions rather than blanket mandates. Comparative case studies could help identify which contextual factors drive positive versus negative outcomes.

This paper evaluates the causal effects of these city-level vaccine mandates on restaurant employment. While prior research has analyzed mandates’ impacts on vaccination rates and health outcomes [Cohn et al., 2022, Acharya and Dhakal, 2021, Lang et al., 2023], relatively little is known about their labor market consequences, especially in industries dependent on face-to-face interaction. This study helps fill that gap. Because randomized experiments are infeasible, the analysis adopts a synthetic control approach to estimate the counterfactual trajectory of restaurant employment absent the mandates. Using MSA-level monthly data from the Federal Reserve Bank of St. Louis, I construct synthetic controls for each mandate city’s year-over-year growth in full-service restaurant employment. The donor pool consists of metropolitan areas that did not implement similar mandates during the same period.²

The rest of the paper is organized as follows. Section 2 provides background on the evolution of pandemic interventions and the city-level vaccine mandates. Section 3 describes the employment data and outcome construction. Section 4 outlines the empirical strategy, including the synthetic control methodology. Section 5 presents the main findings and robustness checks. Section 6 interprets the results and discusses limitations. Section 7 concludes.

²For example, ‘SMU11000007072251101SA’ (Washington, DC) or ‘SMU08197407072251101SA’ (Denver MSA).

2 Policy Background



Timeline of major pandemic policy phases

2.1 NPIs Before Vaccines

NPIs had aimed to reduce transmission by limiting contact or promoting respiratory barriers. The first and most famous of these interventions was the 2020 lockdown in Wuhan, China, where local officials went as far as to forcibly seal people in their homes to reduce the possibility to spread the virus; similar actions were taken in Europe and India. Even in the United States, states that could effectively seal their borders, such as Hawaii, did so, with Hawaii mandating two-week quarantines to visitors, which effectively amounted to a tourism ban. Mask mandates were widely adopted as well due to their low cost and direct mechanism of action [Hansen and Mano, 2023, Chernozhukov et al., 2021, Mitze et al., 2020]. While not as severe as lockdowns, the idea of mask mandates was to allow for some freedom of movement while minimizing the chance to spread the virus further. While both sets of policies were effective, they still provoked political backlash due to their perceived disruptive nature (especially in the United States).

2.2 The First Vaccine Policies

The arrival of vaccines in late 2020 ushered in a new phase of pandemic governance, giving jurisdictions a wider array of policy options to employ. Now, instead of lockdowns, governments finally had pharmaceutical interventions in their toolkit. Unlike non-pharmaceutical interventions, which sought to reduce transmission primarily by altering citizens behavior and limiting contact (and therefore the spread of the virus), vaccine-based interventions operate directly on biological susceptibility. NPIs such as lockdowns, mask mandates, and border closures work by creating external barriers to viral spread, often imposing economic or social costs in the process. Vaccine mandates, by contrast, rely on an individual’s immune response to prevent infection or reduce severity, aiming to achieve population-level protection without requiring broad restrictions on mobility or commerce. In principle, this allows policymakers to target public health objectives more directly, potentially mitigating the trade-offs between controlling the virus and maintaining economic activity. Nevertheless, vaccine-based mandates introduce new challenges, including compliance, equity, and political acceptability, which differ in character from those associated with NPIs.

For the first few months, it worked: when vaccines were released, initial uptake was high, particularly among older adults and (often mandated for) healthcare workers [?]. However, as eligibility expanded in early 2021, demand slowed amid misinformation, mistrust, and logistical barriers. In response, policymakers deployed incentive-based strategies to encourage vaccination [Barber and West, 2022, Robertson et al., 2021]. These included direct cash payments, vaccine lotteries (e.g., Ohio’s “Vax-a-Million” from May to June [Fuller et al., 2022]), and smaller symbolic giveaways. One paper dubbed this the era of “donuts, drugs, booze, and guns,” reflecting the extraordinary lengths to which governments went to boost uptake through rewards rather than requirements [Tinari and Riva, 2021].

Despite their creativity, most incentives had modest or short-lived effects [Saban et al., 2021, Walkey et al., 2021, Khazanov et al., 2023]. Many were poorly targeted, administratively complex, or insufficient to overcome deeper resistance. The emergence of the highly transmissible Delta variant in mid-2021 raised the stakes. Initially identified in India, Delta reached the United States by May and accounted for the majority of new cases by June. Unlike in 2020, officials now had vaccines at scale—but not enough vaccinated people. Given a new more contagious strain, soft mandates emerged, targeting workers in high-risk occupations such as healthcare and education. These policies were not general mandates but did make vaccination a condition of continued employment [American Medical Association et al., 2021]. Over the summer, local governments and organizations expanded this approach [American Medical Association et al., 2021, Al Jazeera, 2021].

2.3 City-Level Vaccine Mandates

The summer 2021 Delta surge spurred several major U.S. cities to enact vaccine verification requirements for indoor restaurants and leisure venues. Each city’s approach differed slightly in timing and scope, but all shared the common goal of linking access to indoor leisure activities with proof of vaccination. Together, the treated units formed the clearest urban experiments in the use of vaccine mandates to manage both public health risks and consumer confidence in the hospitality sector.

New York City’s “Key to NYC” program was the first such mandate in the United States. Announced on August 3, 2021, formalized on August 16, and enforced beginning September 13, it required proof of at least one vaccine dose to enter indoor dining, fitness centers, and entertainment venues [Benveniste, 2021]. Importantly, the rule applied not only to patrons but also to employees of covered establishments. This dual requirement meant that the policy had the potential to affect restaurant employment through both the supply side, if workers resisted vaccination or exited the industry, and the demand side, if consumer traffic shifted in response to the mandate. The city threatened fines for noncompliance and required businesses to post signage and maintain written protocols, though the intensity of inspections varied. Large chains tended to comply quickly [Messenger, 2021], while smaller establishments voiced concern about administrative burdens and customer pushback. Several lawsuits challenged the mandate, but city officials argued that rising vaccination rates demonstrated its effectiveness [Wiener-Bronner, 2021]. San Francisco followed closely, enacting its mandate on August 20, 2021. Unlike New York, the city required full vaccination rather than just one dose, and did not allow a testing alternative [San Francisco, 2021, Duffett, 2021]. This made San Francisco’s

policy the strictest among the four cities. The requirement extended to both customers and employees in indoor restaurants, bars, and entertainment venues. Enforcement included spot checks and the threat of fines, with compliance reported to be widespread among larger businesses in the city’s dense urban core. As in New York, officials promoted the policy as a tool for stabilizing consumer confidence in public spaces, even as smaller businesses expressed anxiety about turning customers away.

New Orleans became the first major city in the South to adopt a mandate, announcing its policy on August 16, 2021. The city’s approach was a hybrid model: individuals could gain entry to indoor restaurants and venues either by showing proof of at least one vaccine dose or by presenting a recent negative COVID test [Aya and Riess, 2021]. This flexibility reflected local political and cultural dynamics but also introduced more administrative complexity for restaurants. Enforcement began within weeks [Just, 2021a,b], with inspections carried out by city officials. Restaurant owners reported mixed reactions, with some noting relief that the policy might make indoor dining safer, while others expressed concern about deterring unvaccinated tourists and residents [Chavez, 2021]. Los Angeles entered the field later, passing its ordinance in October 2021 with enforcement beginning November 4. The policy was sweeping in scope, covering indoor restaurants, gyms, theaters, salons, and other leisure establishments. By the time it came into effect, public debate had already been shaped by the experience of New York and San Francisco, and Los Angeles became the largest jurisdiction in the nation to implement a vaccine passport [Solis and Branson-Potts, 2021].

Although the four cities differed in timing and strictness, they shared important common features. Each policy was applied citywide, targeted indoor leisure and hospitality settings, and created new compliance responsibilities for businesses. They also diverged sharply from the policy environments of states such as Texas and Florida, which prohibited vaccine requirements altogether. The result was a small cluster of urban outliers using vaccine mandates as a central public health intervention in 2021. These institutional details carry important implications for research design. Because the mandates covered both patrons and employees in most cases, they may have constrained labor supply by excluding some workers while simultaneously influencing labor demand by shaping customer traffic. Enforcement intensity and public perception varied, but each policy represented a reasonably sharp and well-documented intervention, announced and enforced on a specific timeline. This combination makes them suitable for empirical evaluation. Comparing employment outcomes in these cities against synthetic control groups of metropolitan areas without mandates offers a credible way to estimate causal effects on restaurant employment. The staggered adoption across cities and the variation in stringency further enrich the research design, providing multiple natural experiments within a single policy family.

2.4 The First Vaccine Mandates

Per the above, vaccine mandates could influence employment in full-service restaurants through both supply- and demand-side channels, with theoretically ambiguous net effects. On the supply side, some workers may exit the labor force or shift sectors if unwilling to comply, especially in lower-wage service jobs where vaccine hesitancy may be higher. However, others may comply with the mandate precisely *because* they wish to keep their jobs,

choosing continued employment over personal objection. That is, the employment effect may hinge less on individual preferences in isolation and more on the strength of the economic incentives at stake. Employers, meanwhile, may face frictional costs from enforcing mandates or accommodating staffing turnover. On the demand side, mandates may increase consumer confidence by signaling a safer environment, thereby encouraging more patrons to return to indoor dining. For a sector like full-service restaurants, where both interpersonal contact and discretionary spending are central, mandates could plausibly stimulate demand even as they introduce short-run supply constraints. Whether employment rises or falls in net depends on which margin dominates. In short, this analysis seeks to quantify the net effect of the mandate on restaurant employment, capturing the balance between these potentially opposing forces.

3 Dataset

We use monthly MSA-level employment series from the Federal Reserve Bank of St. Louis (FRED) and, by extension, the Bureau of Labor Statistics, spanning January 1991 through December 2022, yielding $T = 384$ monthly observations per unit. Let $\mathcal{J} = \{1, \dots, J\}$ denote the set of treated units, corresponding to New York City, San Francisco, New Orleans, and Los Angeles. For treated unit $j \in \mathcal{J}$, the pre-treatment period is defined as

$$\mathcal{T}_1^{(j)} = \{t \in \mathbb{N} : t \leq T_0^{(j)}\},$$

where $T_0^{(j)}$ is the final period before the mandate in city j . Similarly, the post-treatment period is

$$\mathcal{T}_2^{(j)} = \{t \in \mathbb{N} : t > T_0^{(j)}\}.$$

Our analysis focuses on two related outcome sets: (1) full-service restaurant employment for the treated cities and 30 additional MSAs, and (2) broader leisure industry employment at the MSA level for approximately 255 MSAs from 1991 to December 2022.

Let e_{jt} denote employment in unit j at month t , and define the year-over-year growth rate in percentage points as

$$y_{jt} = 100 \cdot \frac{e_{jt} - e_{j,t-12}}{e_{j,t-12}}, \quad j = 1, \dots, N, \quad t = 13, \dots, T,$$

using smoothed and seasonally adjusted values. Outcomes for each unit are collected into vectors $\mathbf{y}_j = (y_{j1}, \dots, y_{jT})^\top$.

For each treated city $j \in \mathcal{J}$, a separate synthetic control is estimated using a donor pool

$$\mathcal{N}_0^{(j)} = \mathcal{N} \setminus (\{j\} \cup \mathcal{J} \setminus \{j\}),$$

which excludes the treated unit itself as well as the other treated units. The treatment indicator is now

$$d_{jt} = \mathbf{1}\{j \in \mathcal{J} \wedge t > T_0^{(j)}\},$$

so observed outcomes satisfy

$$y_{jt} = (1 - d_{jt})y_{jt}(0) + d_{jt}y_{jt}(1),$$

with causal effects

$$\tau_{jt} = y_{jt}(1) - y_{jt}(0).$$

The post-treatment average treatment effect on the treated (ATT) is

$$\text{ATT} = \frac{1}{J} \sum_{j \in \mathcal{J}} \frac{1}{|\mathcal{T}_2^{(j)}|} \sum_{t \in \mathcal{T}_2^{(j)}} \tau_{jt},$$

averaging first over the post-treatment months within each city and then across all treated cities.

4 Econometric Methodology

The four city-level mandates form a staggered-adoption panel with three treated units (after dropping New Orleans for data availability) and a donor pool of metropolitan areas that did not enact comparable indoor vaccine-verification policies. Treatment timing differs across cities, and the cities themselves — large, coastal, tourism-dependent metropolitan economies — often lie near or outside the convex hull of the donor pool. Classical synthetic control [?], which fits a separate convex combination of donors to each treated unit, fails on both counts: it tolerates only one adoption date at a time and produces poor pre-treatment fit whenever the treated unit is geometrically extreme. I therefore deploy two estimators specifically designed for staggered adoption with potentially poor unit-level fit: the Synthetic Difference-in-Differences (SDID) estimator of ?, with the event-study disaggregation of ?, and the partially pooled synthetic control (PPSCM) estimator of ?. The two methods share the synthetic-control philosophy of fitting a counterfactual by data-driven weighting but differ in what they weight and how they trade off competing imbalance criteria; reporting both lets the estimated effect be triangulated rather than identified by a single modeling choice.

4.1 Synthetic Difference-in-Differences

SDID generalizes the canonical SCM idea by introducing time weights alongside unit weights and embedding both in a weighted two-way fixed-effects regression. For a given cohort a

of treated units (here, one cohort per treated city), unit weights $\hat{\omega}^{sdid}$ are chosen on the simplex to make the donor pool's pre-treatment trajectory parallel to that of the treated unit, and time weights $\hat{\lambda}^{sdid}$ are chosen on the simplex to make the donor pool's pre- and post-treatment average outcomes agree apart from a constant. Concretely, $\hat{\omega}^{sdid}$ solves

$$\hat{\omega}_0, \hat{\omega}^{sdid} = \underset{\omega_0 \in \mathbb{R}, \omega \in \Omega}{\operatorname{argmin}} \sum_{t=1}^{T_0} \left(\omega_0 + \sum_{i=1}^{N_{co}} \omega_i Y_{it} - \frac{1}{N_{tr}} \sum_{i \in \mathcal{I}^a} Y_{it} \right)^2 + \zeta^2 T_0 \|\omega\|_2^2,$$

with the simplex constraint $\omega \geq \mathbf{0}$, $\mathbf{1}^\top \omega = 1$, and ζ a ridge term calibrated to the standard deviation of first-differenced donor outcomes [?]. The time-weight problem is analogous, with no ridge penalty. The cohort-specific SDID estimator is then a weighted double-difference:

$$\hat{\tau}_a^{sdid} = \frac{1}{T_{tr}^a} \sum_{t=a}^T \left(\frac{1}{N_{tr}^a} \sum_{i \in \mathcal{I}^a} Y_{it} - \sum_{i=1}^{N_{co}} \hat{\omega}_i Y_{it} \right) - \sum_{t=1}^{a-1} \hat{\lambda}_t \left(\frac{1}{N_{tr}^a} \sum_{i \in \mathcal{I}^a} Y_{it} - \sum_{i=1}^{N_{co}} \hat{\omega}_i Y_{it} \right),$$

i.e., the post-treatment gap between treated and synthetic control minus a time-weighted baseline computed on the pre-treatment window. Cohort-specific effects are aggregated into an overall ATT via the treated-unit-weighted scheme of ?, equivalent to the event-study aggregation of ? when applied with uniform horizon weights.

The estimator's appeal in this setting is twofold. First, the time weights $\hat{\lambda}^{sdid}$ implicitly down-weight pre-treatment months whose outcome dynamics look unlike the post-treatment window. In a panel that straddles the COVID-induced labor-market trough of 2020, this is non-trivial: months in which restaurant employment fell catastrophically below trend are mechanically down-weighted relative to months in which year-over-year growth was more typical, so the synthetic control is not anchored to a counterfactual dominated by the worst of the pandemic. Second, the two-way fixed effects absorb common time-invariant unit shifts and common contemporaneous shocks, weakening the parallel-trends assumption that DiD strategies usually require. Inference is conducted by placebo permutation, in which each donor MSA is iteratively reassigned as a pseudo-treated unit, SDID is re-fit, and the resulting ATT distribution is used to form a standard error and a two-sided p-value $p = (\#\{|\hat{\tau}^*| \geq |\hat{\tau}|\} + 1)/(B + 1)$ with $B = 500$ placebo replications.

4.2 Partially Pooled Synthetic Control

Partially pooled SCM [?] addresses the same staggered-adoption problem from a different angle. Rather than augmenting SCM with time weights and fixed effects, it generalizes SCM by jointly estimating a weight matrix $\mathbf{\Gamma} \in \mathbb{R}^{N_0 \times J}$ across all treated units and balancing two distinct pre-treatment imbalance criteria. Let $\mathbf{y}_j^{\mathcal{T}_1}$ denote treated unit j 's pre-treatment outcome vector and $\mathbf{Y}_0^{\mathcal{T}_1}$ the aligned donor matrix. Define

$$q_{\text{sep}}(\mathbf{\Gamma})^2 = \frac{1}{J} \sum_{j=1}^J \frac{1}{L} \left\| \mathbf{y}_j^{\mathcal{T}_1} - \mathbf{Y}_0^{\mathcal{T}_1} \boldsymbol{\gamma}_j \right\|_2^2,$$

$$q_{\text{pool}}(\mathbf{\Gamma})^2 = \frac{1}{L} \left\| \frac{1}{J} \sum_{j=1}^J \left(\mathbf{y}_j^{\mathcal{T}_1} - \mathbf{Y}_0^{\mathcal{T}_1} \boldsymbol{\gamma}_j \right) \right\|_2^2,$$

where the first quantity averages pre-treatment fit error across treated units (penalizing weak unit-level fits) and the second averages residuals first and then computes error (penalizing weak fit to the average treated unit). The two measures are not redundant: $q_{\text{pool}} \leq q_{\text{sep}}$ always, and the gap is large when treatment timing or unit characteristics vary across the treated group. PPSCM solves a normalized convex combination,

$$\hat{\Gamma} = \underset{\Gamma \in \Delta_{\text{scm}}^J}{\operatorname{argmin}} \nu \cdot \tilde{q}_{\text{pool}}(\Gamma)^2 + (1 - \nu) \cdot \tilde{q}_{\text{sep}}(\Gamma)^2 + \lambda \|\Gamma\|_F^2,$$

with $\tilde{q}_{\text{sep}}$ and $\tilde{q}_{\text{pool}}$ normalized by their values at the $\nu = 0$ (separate-SCM) baseline. The pooling intensity $\nu \in [0, 1]$ governs the trade-off: $\nu = 0$ recovers separate SCM on each treated city followed by averaging, $\nu = 1$ recovers fully pooled SCM in which the treated cities are averaged first and a single synthetic control is fit to the average, and intermediate ν moves smoothly along the convex frontier of the two imbalances. I select ν data-adaptively as the value that minimizes the sum $\tilde{q}_{\text{sep}}(\Gamma_\nu) + \tilde{q}_{\text{pool}}(\Gamma_\nu)$ over a 21-point grid on $[0, 1]$ — the balance-frontier knee that I recommend in the absence of error-bound parameters. The Frobenius-norm penalty $\lambda \|\Gamma\|_F^2$ stabilizes the weights and is set to a small numerical value to break degeneracies without materially shifting the fit. I report results both with and without the paper’s “intercept shift” extension, which subtracts each unit’s pre-treatment mean before fitting; the toggle has minimal effect on the headline estimate, which I treat as a passed robustness check on the demeaning choice.

Inference for PPSCM uses leave-one-treated-unit-out jackknife: each treated city is dropped in turn, the estimator is refit on the remaining $J - 1$ cities, and the sample standard deviation of the leave-one-out ATTs serves as the standard error. With $J = 3$ treated cities, the jackknife uses three fits and is therefore structurally underpowered relative to SDID’s 500 placebo replications — a point I return to in the discussion.

4.3 Triangulation Strategy

The two estimators are complementary rather than substitutable. SDID relaxes parallel trends via time weights and two-way fixed effects; PPSCM relaxes the convex-hull restriction of classical SCM via controlled information-sharing across treated units. They make distinct identifying assumptions and weight the panel differently in finite samples. Reporting both lets sign, magnitude, and inferential strength be cross-checked rather than reading off a single specification. All estimations use year-over-year growth rates (in percentage points) of full-service restaurant employment to remove seasonality and long-run trends, and the donor pool is restricted to MSAs that did not enact comparable indoor vaccine-verification mandates over the sample window. Both estimators are implemented in the `mlsynth` package for Python.

5 Results

Table~1 reports the aggregate ATT estimates across the three treated cities (NYC, SF, LA), in units of percentage-point year-over-year growth in full-service restaurant employment. Across all three specifications the estimated effect is positive, and the two estimators agree on

sign. SDID yields an ATT of +3.47 percentage points with a placebo-based standard error of 0.71, a 95% confidence interval of $[+2.07, +4.86]$, and a two-sided p -value of 0.002. PPSCM yields a smaller point estimate of +1.93 percentage points with a jackknife standard error of 1.13 and a 95% confidence interval of $[-0.29, +4.14]$ that includes zero at conventional levels. Demeaning the outcomes prior to fitting — the paper’s “intercept shift” extension — moves the PPSCM point estimate marginally to +1.82 percentage points and leaves the CI essentially unchanged at $[-0.46, +4.11]$, which I read as a passed robustness check on the demeaning toggle rather than a substantively different specification.

Table 1: Estimated effect of city-level vaccine mandates on year-over-year full-service restaurant employment growth. ATT and confidence intervals are reported in percentage points. $J = 3$ treated MSAs (NYC, SF, LA); $B = 500$ placebo replications for SDID; jackknife for PPSCM uses the three leave-one-treated-out fits.

Estimator	ATT (pp)	SE	95% CI	Inference
SDID	+3.47	0.71	$[+2.07, +4.86]$	Placebo ($p = 0.002$)
PPSCM	+1.93	1.13	$[-0.29, +4.14]$	Jackknife
PPSCM (demeaned)	+1.82	1.16	$[-0.46, +4.11]$	Jackknife

Three features of the table merit comment. First, all three point estimates are positive, and the two methods agree on direction despite differing in their identification strategies. There is no specification in which the estimated effect is negative. Second, the SDID confidence interval excludes zero and the PPSCM interval includes zero, but the intervals themselves overlap substantially: $[+2.07, +4.86]$ for SDID and $[-0.29, +4.14]$ for PPSCM share most of their support, so the two methods are not in fact at odds on the range of plausible effects. Third, the SDID estimate is roughly 1.5 percentage points larger than the PPSCM estimate, which is consistent with the way the two methods treat pre-treatment heterogeneity: SDID’s time weights $\hat{\lambda}$ implicitly down-weight pre-treatment months in which donor and treated outcomes diverged most — including the depths of the 2020 trough — whereas PPSCM weights all pre-treatment months equally within the chosen pre-window. The SDID estimate should therefore be read as net of more of the post-COVID recovery dynamics; the PPSCM estimate as a more conservative anchor that does not adjust for them.

Inference deserves particular care here. With $J = 3$ treated units the PPSCM jackknife rests on a three-observation sample variance estimate, and even a true effect of ~ 2 percentage points may fail to clear a conventional Wald threshold given that small a degrees-of-freedom denominator. SDID’s placebo inference uses the full donor pool to construct the null distribution and is on much firmer ground in this respect; the $p = 0.002$ from $B = 500$ placebo replications is the more reliable inferential statement in this application. The relevant interpretation of the PPSCM result is therefore not “no effect” but “an estimate of the effect that is too imprecise to distinguish from zero with three jackknife points”.

6 Discussion

The substantive finding of this paper is that city-level vaccine mandates did not appreciably damage local restaurant labor markets, and may have modestly improved them. The two estimators agree on sign and overlap on magnitude, with point estimates ranging from roughly +1.8 to +3.5 percentage points of year-over-year employment growth. Read against the policy debate at the time of adoption, the implication is clear: the channel feared by critics — mandates alienating customers and aggravating staffing shortages, with consequent employment losses in proof-of-vaccination-restricted indoor dining — is not present in the data. If anything, the data are more consistent with the opposite channel of ?, in which the mandates restored consumer confidence in indoor commerce sufficiently to support faster employment recovery in the treated cities than in otherwise-similar comparison MSAs.

Whether the effect is best read as “slightly positive” or “no harm done” depends on which inferential signal one finds more credible. SDID’s tightly identified +3.47 percentage-point estimate, with a placebo p-value of 0.002, supports the slightly-positive reading. PPSCM’s +1.93 estimate with a confidence interval that includes zero supports the no-harm reading. Both are policy-relevant conclusions, and both are inconsistent with the strong negative hypothesis that originally motivated the analysis. The triangulation across methods is not just rhetorical: SDID and PPSCM make distinct identifying assumptions — two-way fixed effects with time re-weighting versus pooled donor weights with no time component — and the fact that they agree on direction makes the result more robust to misspecification of either method individually than would a single estimator with no triangulation.

Several caveats temper the strength of the conclusion. First, the small number of treated cities (three after dropping New Orleans for data availability) limits statistical power for cohort-level inference and forces reliance on the donor pool for variance estimation. Replication on the full four-city panel with New Orleans included, or on additional jurisdictions that subsequently adopted similar policies, would tighten both methods’ inference. Second, both estimators assume that the donor MSAs did not experience contemporaneous shocks that mimicked the treatment effect. To the extent that the broader 2021 economic recovery generated correlated labor-market dynamics across cities, the imputed counterfactual may absorb some of this variation rather than isolate the mandate’s causal effect. Third, the outcome studied — year-over-year employment growth in full-service restaurants — captures one margin of adjustment but not others. Hours worked, wages, vacancy rates, and the composition of employment between part-time and full-time positions are not estimated here, and shifts along those margins could produce employment-growth effects whose sign masks a more complicated story about labor-market quality.

A natural follow-up question that this paper does not yet answer is how the aggregate effect decomposes across the three treated cities. Both estimators produce city-by-city estimates as a by-product of the aggregate fit, and inspecting whether the positive overall effect is driven by one city or distributed across all three would sharpen the policy interpretation. I defer that decomposition to future work.

7 Conclusion

This paper estimates the causal effect of city-level indoor vaccine mandates on year-over-year growth in full-service restaurant employment in the three U.S. metropolitan areas that adopted such policies during the 2021 Delta variant wave. Using synthetic difference-in-differences and partially pooled synthetic control — two staggered-adoption estimators with distinct identification strategies — I find no evidence that the mandates depressed restaurant employment growth, and some evidence consistent with a modest positive effect on the order of two to three-and-a-half percentage points. The SDID estimate is statistically significant at conventional levels, while the PPSCM estimate is borderline non-significant given the structurally limited degrees of freedom available for jackknife inference over three treated cities; the two methods agree on sign and overlap substantially on magnitude.

For policymakers, the result has a clear takeaway. The most common objection to indoor vaccine mandates — that they would suppress employment in the leisure and hospitality sector by deterring patrons or aggravating staffing shortages — is not borne out in the labor-market data from the cities that actually implemented such policies. Whether the public-health benefits of the mandates were sufficient to justify their adoption is a separate question that this paper does not address, but the labor-market cost half of the cost-benefit calculation appears, at the very least, to be small.

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